

Fearnleys Dry Bulk Weekly

Jun 19, 2024

Bernhard Baardson



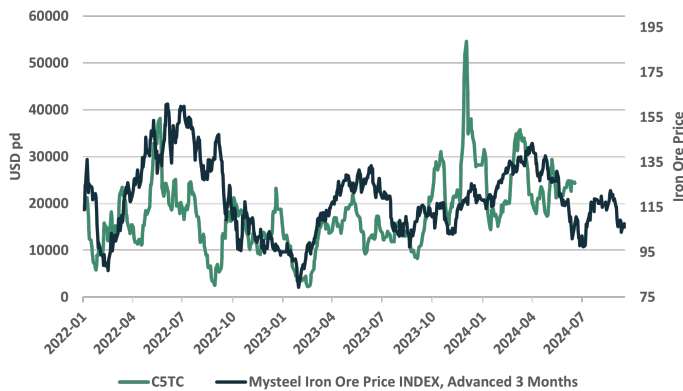
Capesize/Newcastlemax

In our previous report last week, we wrote the following:

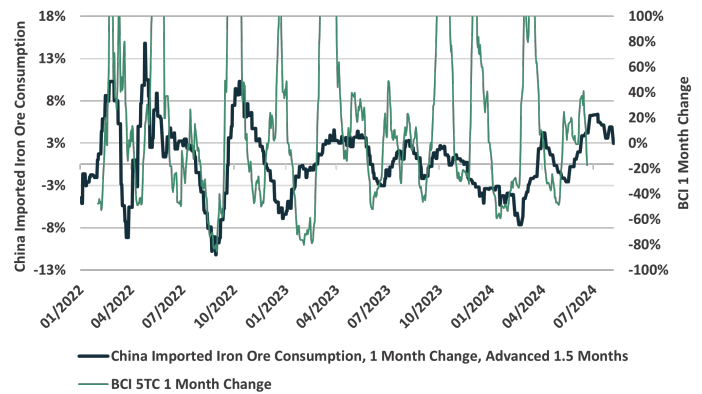
Going forward, we still think it looks like the market is going to rally. China's imported iron ore consumption lead, iron ore prices and steel prices suggest strength in the coming 2 to 3 months. Further, the number of laden vessels in the Atlantic heading to the Pacific has increased significantly the last weeks, to levels comparable to early January and early September last year. Looking a bit further ahead, the recent drop in iron ore and steel prices suggest the market could be in for a negative surprise from late August through September.

Indicators are telling the same story this week, as shown in the charts below. The most likely outcome seems to be a spike in July, then a downtrend through August and September.

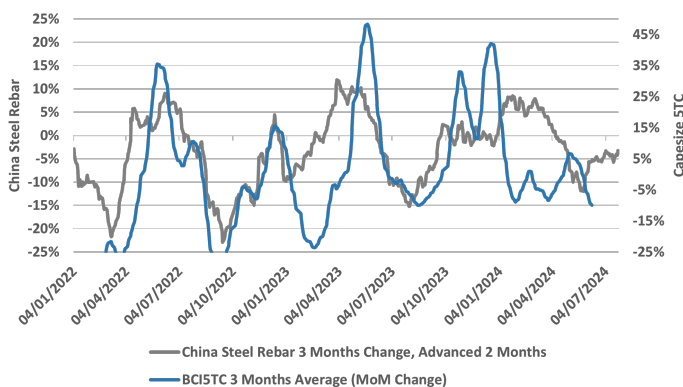
Iron Ore Price, Moved 3 Months Forward vs Capesize 5TC



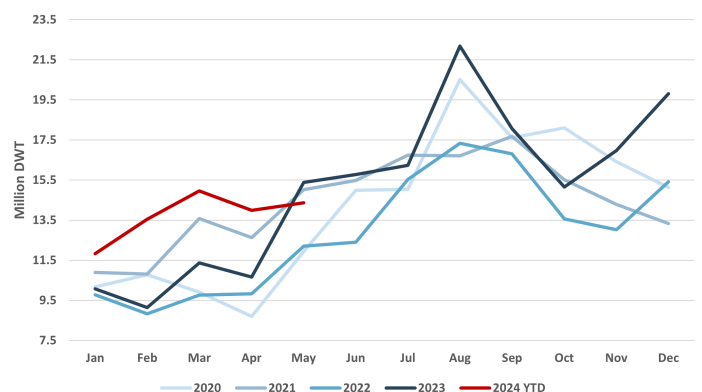
China Imported Iron Ore Consumption, 1 Month Change, Moved 1.5 Months Forward vs Capesize 5TC 1 Month Change



China Steel Rebar 3 Months Change (Moved 1 Month Forward) vs BCI5TC 3 Months Average (Month on month change)



Capesize/Newcastlemax Brazil Export Seasonality



Panamax/Kamsarmax

In our previous report last week, we wrote the following:

It looks like a rally is starting within the time period we have suggested. The South Atlantic vessel absorption has been significant, which almost always results in a rally. Within the next 2 or 3 weeks, more grain shipments from the Black Sea can be expected, which might also coincide with increased coal demand in Asia.

The market movement is tracking seasonality very closely this year. If this continues, the BPI5TC could be around 19,000 USD

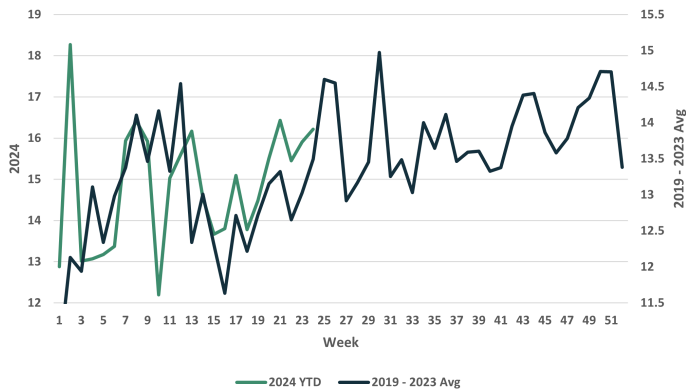


pd in a month or so.

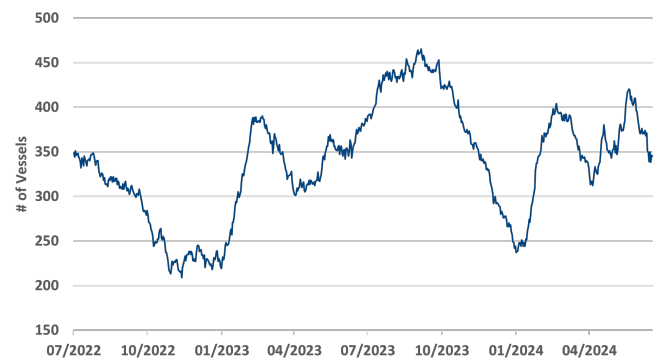
No change to the outlook this week:

- The top left chart shows the seasonality of Asian coal shipments, which points to higher volumes the coming 1-2 months.
- The Black Sea grain volumes should start increasing within the next week or two.
- Like in the Capesize segment, a significant share of the fleet is laden in the Atlantic, and headed towards the Pacific.
- So, we expect the upturn to continue in the coming weeks.

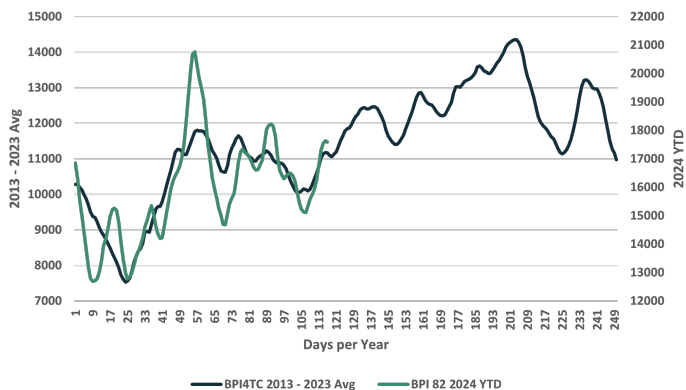
Handysize - Kamsarmax Asian Coal Shipment Seasonality



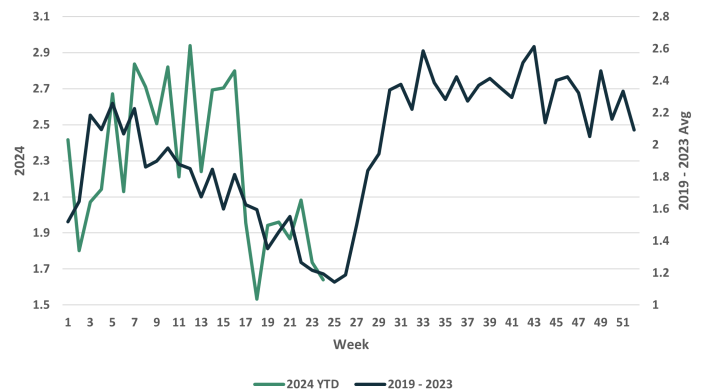
Panamax/Kamsarmax Heading to or in the South Atlantic



Panamax/Kamsarmax Seasonal Average Market Movement



Handysize - Kamsarmax Black Sea Grains Shipment Seasonality



Supramax/Ultramax

In our previous report last week, we wrote the following:

The May manufacturing PMIs for the Eurozone have now been released, and all reports pointed clearly to a demand recovery brewing.

Otherwise, AIS data shows a further uptick in vessels heading to or in the South Atlantic. Like for the Panamax/Kamsarmax segment, some support is likely within 2 or 3 weeks from increased Black Sea grains shipments.

To the positive readings from the Manufacturing PMIs, we can now add the recently released supply chain index from S&P global:

"Globally, reports of backlogs increasing because of staff shortages at suppliers of critical goods and inputs hit their highest in almost a year-and-a-half in May, suggesting capacity expansion is required to meet existing and

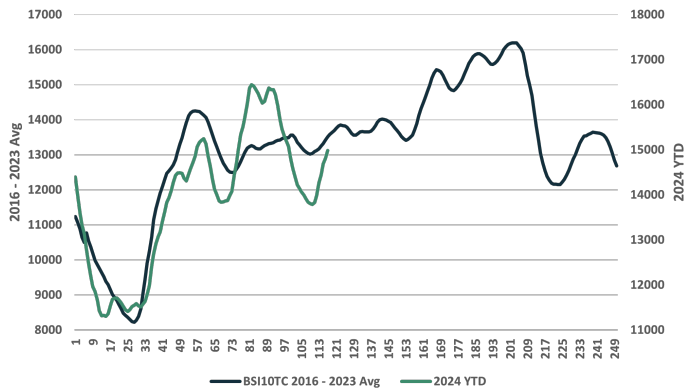


future orders. Overall, this paints an optimistic picture for the outlook in H2 2024 for global supply chains."

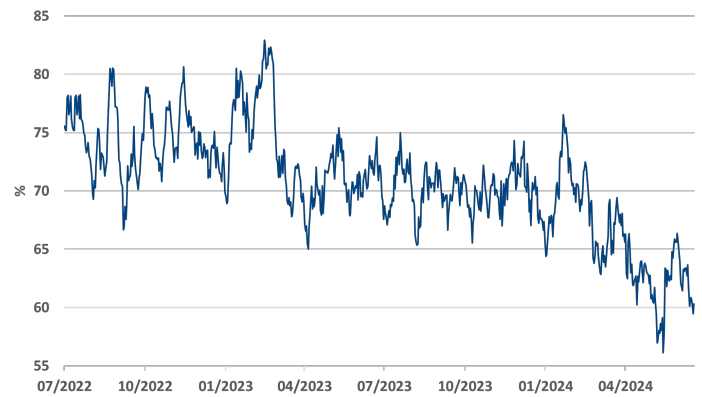
The above, coupled with surging container market rates, could mean there will be some spillover from the container segment to the Handy/Supra segments.

The BSI10TC have averaged close to 14000 USD per day so far this year. We expect a higher earnings average during the second half of the year.

Supramax Seasonal Market Movement



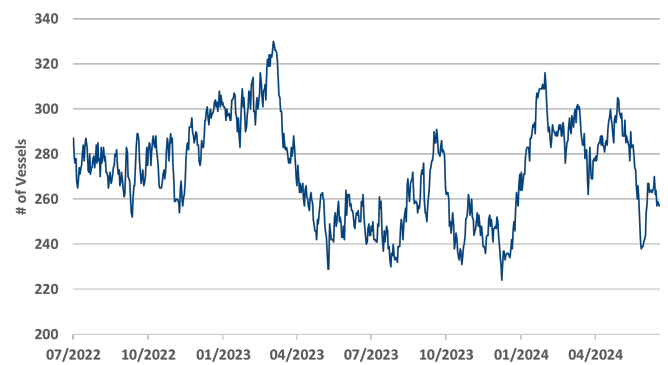
Supramax / Ultramax Ballaster /Laden Vessel Ratio



Supramax / Ultramax Heading to or in the South Atlantic



Supramax / Ultramax Heading to the North Atlantic / Europe Continent





Disclaimer

1. Introduction

The statistical and graphic information set forth in the analysis is compiled by Fearnresearch and based on the databases and time series supplied by Fearnresearch, the research division of Fearnleys AS, and other external sources of information. Fearnresearch compiles, processes and publishes data for the benefit of the brokering departments of Fearnleys AS and its clients. Its methodologies for collecting data, and therefore the data collected, may differ from those of other sources, and its data do not reflect all or even necessarily a comprehensive set of actual transactions occurring in the market. Certain estimates may be based on prevailing market conditions. There can be no assurance that such data reflect actual market conditions.

Data compilation, especially for earlier historical periods, is subject to limited audit and validation procedures. Both closed and open sources, interviews and market intelligence to gain information on different topics may be used. Accordingly, there can be no assurance as to the accuracy or completeness of the estimates, advice, statements and any other information contained in the analysis.

2. Risks

Research coverage of Fearnleys AS encompasses solely companies within the shipping sector. This sector is cyclical by nature and will over time presumably experience higher volatility than the overall market.

3. Confidentiality

Pursuant to Fearnleys' Code of Conduct, all employees of Fearnleys AS are subject to duty of confidentiality towards clients and with respect to handling inside information. All employees shall follow strict information handling procedures and other organizational procedures to minimize conflicts of interest within Fearnleys and between clients.

4. General Disclaimer of Liability

The analyses, estimates, advice, statement and any other information contained in the analysis are prepared and presented in good faith. However, neither Fearnresearch, Fearnleys AS nor any of their subsidiaries, associated companies, organisations, management personnel, employees, agents or independent contractors (collectively the "Fearnley Interests") shall under any circumstances be under any liability for any losses, damages or costs caused to any person, company or other legal entity arising or resulting directly or indirectly from reliance on any inaccurate, incorrect, incomplete or misleading analyses, estimate, advice, statement or any other information contained in the analysis resulting directly or indirectly from any negligent or gross negligent act(s) or omission (s), or wilful misconduct, committed by any of the Fearnley Interests.

In the event that a court or tribunal, notwithstanding the above liability exemptions, should hold any, some or all of the Fearnley Interests liable in damages for any inaccurate, incorrect, incomplete or misleading analyses, estimate, advice, statement or any other information, the liability shall not under any circumstances whatsoever exceed in total ten (10) times the fees payable for the analysis in question, or US\$ 100,000 (United States Dollar Hundred Thousand), whichever is the higher.

Under no circumstances whatsoever shall the individual or individuals who have caused the losses, damage or costs be held personally responsible or liable in any way. The Fearnley Interests shall under no circumstances whatsoever be liable for punitive damages.

The analysis is prepared to the benefit of the named addressee only. No other third party may rely on the analysis or any of its content without prior written approval of Fearnley Consultants AS.

Should any part of this clause be held unenforceable, non-operative or invalid by a court or tribunal, the remaining parts shall remain in full force.

5. Processing of Personal Data

The processing of personal data within Fearnleys AS is subject to strict rules and regulations. Our Privacy Policy describes the procedures for processing personal data according to the General Data Protection Regulation (GDPR). Please see our homepage for more information on this.

Fearnleys AS

Dronning Eufemias gate 8
0191 Oslo
Norway
+47 22 93 60 00

An Astrup Fearnley Company